ORIGINAL ENTRY · FOUNDATIONS

Before you begin

The accounting you are assumed to hold already, for the books of Riverbend Bicycle Supply, 2026-12-01 to 2026-12-15.

42 accounts · 5 journals · 31 documents · versions A, B, C

This set does not teach these principles; it tests whether you can apply them to a real month of documents. Read this once before you open the first document, and keep it beside the chart of accounts while you work. Every figure in the worked examples is invented — none of them is one of your 31.

> **What is marked.** Deciding whether a document is a transaction at all; choosing the journal built for it; the accounts and amounts in the entry; posting it in full; and whether your subsidiary ledgers agree with their control accounts. The six sections that follow are those five things and the ground they stand on.

1 · The equation, and why every entry has two sides

Every account a business keeps answers to one equation. It never stops being true, not for a moment, not between two halves of an entry:

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Assets = Liabilities + Equity
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Revenue raises equity and expenses lower it, so the working form is **Assets = Liabilities + Equity + Revenue − Expenses**. An entry that left the equation unbalanced would be describing a business that cannot exist, so the system forbids it: in every entry the debits equal the credits. That is not a convention you could choose differently. It is the equation, written one transaction at a time.

Any asset		Any liability / equity	
DEBIT	CREDIT	DEBIT	CREDIT
recorded here			recorded here
INCREASE	DECREASE	DECREASE	INCREASE

Debit means the left side of an account and credit means the right; neither means good or bad, and neither means add or subtract on its own. Which

side increases an account is fixed by what kind of account it is — its **normal balance**, the side it is expected to sit on:

Account type	Increased by a	Normal balance	Examples here
Asset	debit	`debit`	Cash, Merchandise Inventory
Liability	credit	`credit`	Accounts Payable, Notes Payable
Equity	credit	`credit`	Common Stock, Retained Earnings
Revenue	credit	`credit`	Sales
Expense	debit	`debit`	Rent Expense, Cost of Goods Sold

> **Contra accounts sit on the wrong side on purpose.** A contra-asset such as Accumulated Depreciation or Allowance for Doubtful Accounts carries a credit balance and is subtracted from the asset it follows; a contra-revenue such as Sales Returns and Allowances or Sales Discounts carries a debit balance and is subtracted from Sales. They are not errors. They let the books show both the gross figure and what reduced it.

2 · The chart of accounts for this company

These are the only accounts you may use, named and numbered exactly as the set expects them. An entry to an account that is not on this list, or a plausible synonym for one that is, will not be what the set is marking against. Learn the shape of it: where the assets end and the liabilities begin, which accounts are contra, and which two are **control accounts** that a subsidiary ledger stands behind (section 5).

No.	Account	Normal
ASSET · NORMAL BALANCE DEBIT		
101	Cash	debit
102	Petty Cash	debit
105	Accounts Receivable CONTROL ACCOUNT	debit
110	Merchandise Inventory	debit
115	Office Supplies	debit
116	Prepaid Insurance	debit
150	Store Equipment	debit
155	Delivery Van	debit
CONTRA-ASSET · NORMAL BALANCE CREDIT		
106	Allowance for Doubtful Accounts	credit
151	Accum. Depreciation - Store Equipment	credit
156	Accum. Depreciation - Delivery Van	credit
LIABILITY · NORMAL BALANCE CREDIT		
201	Accounts Payable CONTROL ACCOUNT	credit
203	Salaries Payable	credit
204	FICA Taxes Payable	credit
205	Federal Income Tax Withheld Payable	credit
206	State Income Tax Withheld Payable	credit
207	Unemployment Taxes Payable	credit
210	Interest Payable	credit
215	Unearned Sales Revenue	credit
220	Notes Payable	credit
EQUITY · NORMAL BALANCE CREDIT		
301	Common Stock	credit
302	Retained Earnings	credit
303	Dividends	credit
399	Income Summary	credit
REVENUE · NORMAL BALANCE CREDIT		
401	Sales	credit

CONTRA-REVENUE · NORMAL BALANCE DEBIT		
402	Sales Returns and Allowances	debit
403	Sales Discounts	debit
EXPENSE · NORMAL BALANCE DEBIT		
501	Cost of Goods Sold	debit
511	Sales Salaries Expense	debit
512	Office Salaries Expense	debit
513	Payroll Tax Expense	debit
514	Rent Expense	debit
515	Advertising Expense	debit
516	Delivery Expense	debit
517	Office Supplies Expense	debit
518	Insurance Expense	debit
519	Depreciation Expense - Store Equipment	debit
520	Depreciation Expense - Delivery Van	debit
521	Bad Debts Expense	debit
522	Utilities Expense	debit
523	Bank Service Charge Expense	debit
590	Interest Expense	debit

3 · Reading a document, and the first decision

Work in this set begins at a document — an invoice, a cheque, a bank memo — not at a journal. The first decision is the one most easily skipped: **is this a transaction to record at all?** A purchase order or a price quote changes nothing until goods or money move; a document can arrive that needs no entry, and saying so, with a reason, is itself marked. Only once you have decided an entry is owed do you analyse it:

STEP 1

What happened, in the company's terms

Did it receive or pay cash? Sell or buy on account? Settle an earlier debt? The document's own words — payee, terms, "on account" — tell you.

STEP 2

Which accounts it touches

Name every account that changed. A single transaction often moves more than two: a sale on account moves a receivable and revenue, and, under perpetual inventory, cost and inventory as well (section 6).

STEP 3

Debit or credit, and how much

For each account, decide the side from its type in section 1, and read the amount from the document. Then check the entry balances before you commit it.

The amount is not always the number printed largest. A cheque paying an invoice within its discount period settles the full invoice while less cash leaves the bank; the difference is a discount, not a rounding. Read the terms before you read the total (section 4).

4 · Credit terms, and the cash discount

Goods bought or sold on account carry terms that say when payment is due and whether paying early earns a discount. They are written as a shorthand you must be able to read on sight. This set uses these:

2/10, n/30
2% off if paid within 10 days; otherwise the net amount is due in 30. On a $4,000 invoice, paying by day 10 settles the debt with $3,920 — the $80 is a discount, not a part-payment.

1/15, n/30
1% off within 15 days; net in 30.

n/30
No discount. The whole amount is due in 30 days.

Whose discount it is depends on which side you are on. A discount you take for paying a supplier early reduces the cost of what you bought. A discount a customer takes for paying you early is a **Sales Discount** — a contra-revenue, recorded when the customer pays, not when the sale is made. The days count from the invoice date, so the invoice date is a figure, not decoration.

5 · Special journals, subsidiary ledgers, and control accounts

A general journal can record anything, but a month of a merchandiser's trade is mostly the same few transactions repeated. A **special journal** is a page built for one of them, with a named column for each account that kind of transaction always touches, so a row is a few figures rather than a full entry. This company keeps these:

Journal	Use it for
Sales Journal	Sales on account. Not cash sales.
Purchases Journal	Anything bought on account, from inventory to office supplies.
Cash Receipts Journal	Every receipt of money, including cash sales and payments from customers.
Cash Payments Journal	Every payment of money: cheques, remittances, payroll.
General Journal	Anything the four special journals have no column for.

Choosing the journal built for a transaction is part of the work and is marked. A special journal has a column only for the accounts its transaction type expects; anything else goes in its **Other accounts** column or, if it fits no special journal at all, in the general journal. The general journal is the catch-all — returns, adjustments, the payment that fits nowhere else.

Control accounts and the ledgers behind them

You do not need to know the balance owed by every customer to read the balance sheet — you need the total. So the general ledger keeps one **control account** for the total (105 Accounts Receivable and 201 Accounts Payable), and a separate **subsidiary ledger** keeps a page per customer or supplier behind it. Every entry that touches a receivable or a payable is posted twice: once to the control account in the general ledger, and once to that party's page in the subsidiary ledger.

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sum of the subsidiary ledger pages = the control account balance
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That equality is the point of the structure, and the set checks it: if the customers' pages do not add up to Accounts Receivable, a posting is missing or doubled. Keeping the two in agreement is marked in its own right. When you post, post both sides — the general ledger and, where a line names a party, the subsidiary page — or they will not agree.

6 · Merchandising: inventory, cost, freight, and returns

This company buys goods and sells them, and that adds entries a service business never makes.

Perpetual inventory and cost of goods sold

The inventory account is kept current as goods move, not counted once at period end. So a sale on account is two things in one entry: the revenue at selling price, and, in the same breath, the **cost** of the goods that left — debit Cost of Goods Sold, credit Merchandise Inventory. The selling price is on the invoice; the cost is given in the set's reference. The sales journal here has columns for both, which is the set telling you both belong in the one entry.

Freight on goods you buy (FOB shipping point)

When the terms are FOB shipping point, the goods are yours the moment they ship and the freight to bring them in is part of what they cost you — it is added to Merchandise Inventory, not expensed. Freight to deliver goods to a customer is a different thing and is a selling expense.

Returns and allowances

Goods sent back, or a price reduced after the sale, are not erased from Sales. They are recorded in Sales Returns and Allowances (contra-revenue) so the books keep both the original sale and the reversal. A purchase returned reduces what you owe and the inventory you hold.

Cash sales versus sales on account

A sale for cash is a receipt and lives in the cash receipts journal; a sale on account creates a receivable and lives in the sales journal. The document tells you which — look for "on account", a customer name, or terms.

7 · Posting, the trial balance, and what comes after

Writing an entry in a journal records it; it does not move it to the accounts. **Posting** is that second step, and nothing posts itself. From a special journal you post each column's total to its account, and each line in an **Other accounts** column individually; from the general journal you post line by line. Where a line names a customer or supplier, post it to the subsidiary ledger as well (section 5). An entry left unposted reaches no ledger and no trial balance, and is the most common reason a balance looks wrong.

The **trial balance** lists every account's balance in a debit column or a credit column and adds them. Because every entry was balanced, the two totals must match. A trial balance that balances proves the arithmetic, not the judgement: it cannot catch an amount posted to the wrong account, or a transaction never recorded. It catches only entries that do not balance and totals that were mis-added.

THE REST OF THE CYCLE, FOR ORIENTATION

This set stops at a posted trial balance, but the accounts you see — prepaid insurance, accumulated depreciation, the allowance for doubtful accounts, salaries payable — exist because the full cycle continues past it. **Adjusting entries** at period end record what time and use consumed (insurance expiring, equipment depreciating, salaries earned but unpaid, a slice of receivables not expected to pay). **Closing entries** then empty the revenue and expense accounts into Retained Earnings so the next period starts at zero. You are not asked to do them here; you are asked to build books clean enough that someone could.

A quick glossary

Account
A record of every increase and decrease in one thing the business tracks.

Debit / credit
The left and right side of an account. Which one increases it depends on the account's type.

Normal balance
The side an account is expected to sit on — the side that increases it.

Contra account
An account deliberately on the opposite side, subtracted from the one it follows.

On account
Bought or sold now, paid or collected later; it creates a payable or a receivable.

Control account
A general-ledger account holding the total that a subsidiary ledger details.

Subsidiary ledger
The per-customer or per-supplier pages that add up to a control account.

Special journal
A journal with named columns for one recurring kind of transaction.

Perpetual inventory
Inventory kept current as goods move, with cost recorded on each sale.

FOB shipping point
Title passes when goods ship; the buyer owns them in transit and bears the inbound freight.

Cash discount
A reduction for paying within the discount period, written like 2/10, n/30.

Posting
Moving a journalised entry into the ledger accounts. A separate, manual step.

Trial balance
A list proving total debits equal total credits. Proves arithmetic, not judgement.

Original Entry · foundations for Riverbend Bicycle Supply · the accounting is yours to apply; the software is covered in the walkthrough.